State Farm Mutual Automobile Insurance Company
Washington Commercial Auto
Filing Memorandum

Effective October 20, 2025 for New and Renewal Business

This filing includes a revision of 19.1% to the premium income level for our Commercial Automobile Program. The changes by coverage are summarized in the table below.

Indicated Rate Level Changes

Vehicle Type	Coverage	Percentage Change
Commercial	Bodily Injury & Property Damage Liability	29.9%
	Comprehensive	8.0%
	Collision	4.0%
	All Coverages	17.8%
Church Bus	All Coverages	0.0%
Employers' Non-Owned	All Coverages	56.9%
All Vehicles	Total Commercial Auto Program – All Coverages	19.1%

Exhibit 1 summarizes the indication and the information used to develop the indicated rate change. The data shown is developed in Exhibits 2-10. Historical losses, premium, and expenses in these exhibits were adjusted prior to trend and development selections.

Exhibit 2A develops a credibility-weighted loss ratio by coverage.

Exhibit 2B shows the development of the weighted loss ratios by coverage.

The loss ratios are based on trended ultimate losses and Loss Adjustment Expenses (LAE) divided by trended current-level earned premium for a selected number of fiscal accident years. The data is trended from the midpoint of each fiscal accident year to the midpoint of the time the revised premiums are expected to be earned using two-step trending as discussed below under Exhibit 4.

The number of fiscal accident years used to weight each loss ratio is selected so that the cumulative claim count of the experience period is equal to or greater than selected credibility standards, subject to a minimum of two fiscal years. That minimum provides a level of stability. Equal weighting is applied to each available fiscal year if the credibility standard is not met.

Exhibit 2C develops a complement of credibility by coverage by adjusting the permissible loss ratio for premium and loss trends during the prospective projection period.

Exhibit 3 shows the rate history.

Exhibit 4 details the selection of historical and prospective premium trends. The yearly trend percentages shown are determined by applying a regression to historical data.

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Data is trended from the midpoint of each fiscal accident year to the midpoint of the latest fiscal accident year using the selected historical trend percentage. The historically-trended data is then trended from the midpoint of the latest fiscal accident year to the midpoint of the time the revised premiums are expected to be earned using the selected prospective trend percentage.

Exhibit 5 details the selection of historical and prospective loss trends. The selected trends are then applied using the same procedures detailed under Exhibit 4. Additionally, fiscal accident year losses have been matched with the fiscal calendar year exposures that produced them. This adds stability to the calculated loss trends when exposures change over time.

Exhibit 6 shows the selection of the prospective trend for Policies in Force (PIF). The trend percentages shown are calculated by applying a regression to historical data.

Exhibit 7 shows the selection for Adjusting and Other (A&O) Expenses as a percentage of loss and DCC.

Exhibit 8 shows the selected provision used to adjust the comprehensive coverage losses to reflect an expected provision for catastrophic loss.

Exhibits 9A and 9B detail the fixed and variable expense selections, respectively. Selected fixed expenses are shown based on cost per policy and converted to a ratio to projected earned premium. Variable expenses are shown as a ratio to written premium.

Exhibit 10 details the selected provision for underwriting profit and contingencies.

Commercial Auto Rates and Rating Factors

We are revising the Commercial Auto base rates and rating factors. Revised rates and factors can be found in the attached rate manual. The effects of these changes are included in the income effects for the applicable coverages.

A. Base Rates

We revised our base rates by coverage. The income effects of all rating factor changes described in this filing were taken into consideration when developing our base rates to arrive at the overall income level changes.

Other Vehicle Changes

We are revising Employers' Non-Owned liability base rates and Hired Car liability base rates. These changes result in an overall rate change of 64.4% for Employers' Non-Owned Liability coverage, and 0.0% for Hired Car liability, for a combined change of 56.9%.

Summary

This change will result in an overall rate change of 19.1% for the Commercial Automobile Program, effective October 20, 2025 for new and renewal business.

Attached is a copy of the rate manual pages with the revised rates.

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State Farm Fire and Casualty Insurance Company
Washington Commercial Auto
Filing Memorandum

Effective October 20, 2025 for New and Renewal Business

This filing includes a revision of 18.6% to our premium income level for our Commercial Automobile Program.

The Automobile Program in the State Farm Fire and Casualty Company was established a number of years ago to accommodate risks which were not eligible for insurance in the Mutual Company.

Due to the relatively small volume of Commercial Auto business written in the program, experience in the State Farm Fire and Casualty Company auto insurance program tends to be erratic. Because of this volatility, rates in the State Farm Fire and Casualty Company are established as percentage relationships to the State Farm Mutual base rates. We are maintaining these rate relationships. The base rate and rating factor changes described in the State Farm Mutual Automobile filing result in the following income effects:

Coverage	Percentage Change
Bodily Injury & Property Damage Liability	29.9%
Comprehensive	8.0%
Collision	4.0%
All Coverages	18.6%

Summary

This change will result in an overall rate change of 18.6% for the Commercial Automobile Program, effective October 20, 2025 for new and renewal business.

Attached is a copy of the rate manual pages with the revised rates.

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State Farm Insurance Companies
Washington Commercial Auto
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Exhibit 1
State Farm Mutual Automobile Insurance Company
Washington Commercial Auto
Indicated Rate Change
Policies Effective: 10/20/2025 New 10/20/2025 Renewal

	Coverage (% of Projected Premium)		
	Bodily Injury & Property Damage Liability	Comprehensive	Collision
(1) Projected Non-Provisional Credibility Weighted Loss & LAE (L)	103.7%	86.1%	81.4%
(2) Catastrophe Provision (C)	0.0%	1.2%	0.0%
(3) Fixed Expenses (F)	5.8%	5.8%	5.8%
(4) Variable Expenses (V)	15.9%	15.9%	15.9%
(5) Profit & Contingencies (Q)	1.0%	1.0%	1.0%
Indicated Change = $\frac{L * (1 + C) + F}{1 - V - Q} - 1$	**31.8%**	**11.8%**	**4.9%**

All Coverages* **20.3%**

Row (1) = See Exhibit 2A
Row (2) = See Exhibit 8, applies to Comprehensive coverage only.
Row (3) = See Exhibit 9A
Row (4) = See Exhibit 9B
Row (5) = See Exhibit 10
All data is aggregated through 11/30/2024.
Premiums, Losses, and Expenses are projected to 1/19/2027.

* Weighted average of all coverages including additional miscellaneous coverages not shown, using the latest fiscal accident year

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Exhibit 2A
State Farm Mutual Automobile Insurance Company
Washington Commercial Auto
Credibility-Weighted Non-Provisional Loss & LAE Ratio

	(1)	(2)	(3)	(4)
	Projected Loss & LAE Ratio	Credibility	Complement of Credibility	**Credibility Weighted Loss & LAE Ratio**
Bodily Injury & Property Damage Liability	103.7%	100.0%	81.8%	**103.7%**
Comprehensive	86.4%	94.2%	81.1%	**86.1%**
Collision	81.8%	84.3%	79.1%	**81.4%**

Col (1) = See Exhibit 2B
Col (2) is derived by comparing incurred claim counts to a credibility standard using classical credibility.
Col (3) = See Exhibit 2C
Col (4) = Col (1) * Col (2) + Col (3) * (1 - Col (2))

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Exhibit 2B
State Farm Mutual Automobile Insurance Company
Washington Commercial Auto
Projected Non-Provisional Loss & LAE Ratio

Coverage: Bodily Injury Liability

Fiscal Accident Year End	(1) Current Level Earned Premium	(2) Trended Current Level Earned Premium	(3) Loss and DCC	(4) Cumulative Loss Development Factor	(5) Ultimate Loss & DCC	(6) A&O Expense Factor	(7) Trended Ultimate Loss & LAE	(8) Loss & LAE Ratio	(9) Accident Year Weight
8/31/2015	2,836,904	3,894,786	1,704,609	1.0000	1,704,609	1.055	4,490,076	115.3%	10.0%
8/31/2016	2,838,589	3,794,342	478,944	1.0000	478,944	1.055	1,167,885	30.8%	10.0%
8/31/2017	2,849,766	3,708,971	1,910,632	1.0000	1,910,632	1.055	4,313,850	116.3%	10.0%
8/31/2018	2,894,253	3,667,887	1,380,335	1.0000	1,380,335	1.055	2,885,674	78.7%	10.0%
8/31/2019	2,987,045	3,686,014	1,187,529	1.0004	1,188,004	1.055	2,299,680	62.4%	10.0%
8/31/2020	3,174,300	3,813,922	799,265	1.0015	800,464	1.055	1,732,808	45.4%	10.0%
8/31/2021	3,348,298	3,917,174	503,094	1.3530	680,700	1.055	1,292,089	33.0%	10.0%
8/31/2022	3,839,099	4,373,118	1,070,559	2.0118	2,153,767	1.055	3,308,796	75.7%	10.0%
8/31/2023	4,215,626	4,675,973	389,168	3.1119	1,211,041	1.055	1,722,702	36.8%	10.0%
8/31/2024	4,550,110	4,913,664	1,201,829	2.3280	2,797,827	1.055	3,684,261	75.0%	10.0%
							(10) Incremental Projected Loss & LAE Ratio:	**66.9%**	

Coverage: Property Damage Liability

Fiscal Accident Year End	(1) Current Level Earned Premium	(2) Trended Current Level Earned Premium	(3) Loss and DCC	(4) Cumulative Loss Development Factor	(5) Ultimate Loss & DCC	(6) A&O Expense Factor	(7) Trended Ultimate Loss & LAE	(8) Loss & LAE Ratio	(9) Accident Year Weight
8/31/2019	2,987,045	3,686,014	749,599	1.0000	749,599	1.075	1,448,929	39.3%	16.6%
8/31/2020	3,174,300	3,813,922	580,795	1.0000	580,795	1.075	1,326,504	34.8%	16.6%
8/31/2021	3,348,298	3,917,174	684,968	1.0000	684,968	1.075	1,392,436	35.5%	16.7%
8/31/2022	3,839,099	4,373,118	763,125	1.0028	765,262	1.075	1,255,904	28.7%	16.7%
8/31/2023	4,215,626	4,675,973	1,246,102	1.0163	1,266,460	1.075	1,968,191	42.1%	16.7%
8/31/2024	4,550,110	4,913,664	1,210,294	1.1197	1,355,166	1.075	1,994,045	40.6%	16.7%
							(10) Incremental Projected Loss & LAE Ratio:	**36.8%**	

Bodily Injury & Property Damage Liability Projected Loss & LAE Ratio: 103.7%

Coverage: Comprehensive

Fiscal Accident Year End	(1) Current Level Earned Premium	(2) Trended Current Level Earned Premium	(3) Loss and DCC	(4) Cumulative Loss Development Factor	(5) Ultimate Loss & DCC	(6) A&O Expense Factor	(7) Trended Ultimate Loss & LAE	(8) Loss & LAE Ratio	(9) Accident Year Weight
8/31/2015	485,511	857,655	129,297	1.0000	129,297	1.057	501,126	58.4%	10.0%
8/31/2016	500,517	842,771	140,066	1.0000	140,066	1.057	487,169	57.8%	10.0%
8/31/2017	511,586	821,146	233,553	1.0000	233,553	1.057	729,207	88.8%	10.0%
8/31/2018	539,260	825,122	342,430	1.0000	342,430	1.057	959,724	116.3%	10.0%
8/31/2019	565,214	824,478	369,256	1.0000	369,256	1.057	929,010	112.7%	10.0%
8/31/2020	620,136	862,175	210,845	1.0000	210,845	1.057	536,492	62.2%	10.0%
8/31/2021	688,434	912,451	344,742	1.0000	344,742	1.057	698,706	76.6%	10.0%
8/31/2022	811,364	1,025,159	707,201	1.0000	707,201	1.057	1,286,625	125.5%	10.0%
8/31/2023	932,376	1,123,047	579,912	1.0000	579,912	1.057	947,072	84.3%	10.0%
8/31/2024	1,049,918	1,205,411	645,298	1.0308	665,173	1.057	974,835	80.9%	10.0%
							(10) Projected Loss & LAE Ratio:	**86.4%**	

Coverage: Collision

Fiscal Accident Year End	(1) Current Level Earned Premium	(2) Trended Current Level Earned Premium	(3) Loss and DCC	(4) Cumulative Loss Development Factor	(5) Ultimate Loss & DCC	(6) A&O Expense Factor	(7) Trended Ultimate Loss & LAE	(8) Loss & LAE Ratio	(9) Accident Year Weight
8/31/2015	547,166	1,322,226	284,885	1.0000	284,885	1.053	1,156,967	87.5%	10.0%
8/31/2016	579,592	1,300,199	206,371	1.0000	206,371	1.053	742,105	57.1%	10.0%
8/31/2017	616,368	1,283,833	354,420	1.0000	354,420	1.053	1,128,837	87.9%	10.0%
8/31/2018	662,576	1,281,422	191,280	1.0000	191,280	1.053	539,630	42.1%	10.0%
8/31/2019	722,428	1,297,265	347,563	1.0000	347,563	1.053	868,480	66.9%	10.0%
8/31/2020	817,622	1,362,975	650,039	1.0000	650,039	1.053	1,802,095	132.2%	10.0%
8/31/2021	912,573	1,412,480	685,037	1.0000	685,037	1.053	1,578,787	111.8%	10.0%
8/31/2022	1,125,142	1,617,053	609,106	1.0000	609,106	1.053	1,057,318	65.4%	10.0%
8/31/2023	1,341,544	1,790,157	991,349	0.9965	987,880	1.053	1,518,798	84.8%	10.0%
8/31/2024	1,598,894	1,980,710	1,215,187	0.9861	1,198,340	1.053	1,631,349	82.4%	10.0%
							(10) Projected Loss & LAE Ratio:	**81.8%**	

Col (1) is derived using the parallelogram current level process.
Col (2) is derived by applying premium trends listed in Exhibit 4 to the values in Col (1).
Col (5) = Col (3) * Col (4)
Col (6) = See Exhibit 7
Col (7) is derived by applying loss trends listed in Supplemental Exhibit 5 to the values in Col (5) and multiplying by the factor in Col (6).
Col (8) = Col (7) / Col (2)
Col (9) shows assigned weighting based on selected credibility standards for cumulative incurred claim counts and actuarial judgment, subject to a minimum of 2 fiscal accident years.
Row (10) = Weighted average of Col (8) using the weights in Col (9)
Premiums, Losses, and Expenses are projected to 1/19/2027.

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Supplemental Exhibit 2B
State Farm Mutual Automobile Insurance Company
Washington Commercial Auto
Development of Ultimate Loss & DCC - Bodily Injury Liability

Development Months

Fiscal Accident Year End	15	27	39	51	63	75	87	99	111	123
8/31/2014	47,203	117,802	394,759	543,979	759,229	759,229	759,229	759,229	759,229	759,229
8/31/2015	78,935	1,061,199	1,373,578	1,548,972	1,621,752	1,627,152	1,628,886	1,643,055	1,704,505	1,704,609
8/31/2016	58,620	208,975	454,894	478,944	478,944	478,944	478,944	478,944	478,944	
8/31/2017	51,630	188,052	261,831	306,871	831,178	897,766	939,020	1,910,632		
8/31/2018	89,070	330,791	566,872	951,364	1,380,304	1,380,335	1,380,335			
8/31/2019	55,860	147,684	379,445	1,056,571	1,187,529	1,187,529				
8/31/2020	167,139	391,685	469,980	540,703	799,265					
8/31/2021	90,229	247,082	312,387	503,094						
8/31/2022	68,835	644,008	1,070,559							
8/31/2023	123,058	389,168								
8/31/2024	1,201,829									

Development Months

Fiscal Accident Year End	15-27	27-39	39-51	51-63	63-75	75-87	87-99	99-111	111-123
8/31/2014	2.4957	3.3510	1.3780	1.3957	1.0000	1.0000	1.0000	1.0000	1.0000
8/31/2015	13.4439	1.2944	1.1277	1.0470	1.0033	1.0011	1.0087	1.0374	1.0001
8/31/2016	3.5649	2.1768	1.0529	1.0000	1.0000	1.0000	1.0000	1.0000	
8/31/2017	3.6423	1.3923	1.1720	2.7086	1.0801	1.0460	2.0347		
8/31/2018	3.7138	1.7137	1.6783	1.4509	1.0000	1.0000			
8/31/2019	2.6438	2.5693	2.7845	1.1239	1.0000				
8/31/2020	2.3435	1.1999	1.1505	1.4782					
8/31/2021	2.7384	1.2643	1.6105						
8/31/2022	9.3558	1.6623							
8/31/2023	3.1625								

Development Months

	15-27	27-39	39-51	51-63	63-75	75-87	87-99	99-111	111-123
Average	5.9253	1.7680	1.4776	1.3363	1.0101	1.0056	1.1491	1.0062	1.0000
Avg Last 5	4.0488	1.6819	1.6792	1.5523	1.0167	1.0094	1.2087	1.0075	1.0000
Avg Last 4	4.4001	1.6740	1.8060	1.6904	1.0200	1.0118	1.2609	1.0094	1.0000
Avg Last 3	5.0856	1.3755	1.8485	1.3510	1.0267	1.0153	1.3478	1.0125	1.0000
Avg Last 2	6.2592	1.4633	1.3805	1.3011	1.0000	1.0230	1.5174	1.0187	1.0001
Latest Diagonal	3.1625	1.6623	1.6105	1.4782	1.0000	1.0000	2.0347	1.0000	1.0001
Olympic	5.4988	1.6665	1.3799	1.2069	1.0016	1.0002	1.0017	1.0000	1.0000
5 yr Olympic	2.8482	1.5468	1.4869	1.3510	1.0011	1.0004	1.0029	1.0000	1.0000
Geometric Mean	4.7503	1.6783	1.4019	1.2724	1.0098	1.0055	1.1082	1.0061	1.0000
Weighted Average	5.5350	1.5609	1.3420	1.1965	1.0081	1.0048	1.1334	1.0095	1.0000

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Supplemental Exhibit 2B
State Farm Mutual Automobile Insurance Company
Washington Commercial Auto
Development of Ultimate Loss & DCC - Bodily Injury Liability

Selected Development

Fiscal Accident Year End	Development Months 15-27	27-39	39-51	51-63	63-75	75-87	87-99	99-111	111-123	123-Ult*	**Ultimate Loss & DCC**
8/31/2015										1.0000	**1,704,609**
8/31/2016									1.0000	1.0000	**478,944**
8/31/2017								1.0000	1.0000	1.0000	**1,910,632**
8/31/2018							1.0000	1.0000	1.0000	1.0000	**1,380,335**
8/31/2019						1.0004	1.0000	1.0000	1.0000	1.0000	**1,188,004**
8/31/2020					1.0011	1.0004	1.0000	1.0000	1.0000	1.0000	**800,464**
8/31/2021				1.3510	1.0011	1.0004	1.0000	1.0000	1.0000	1.0000	**680,700**
8/31/2022			1.4869	1.3510	1.0011	1.0004	1.0000	1.0000	1.0000	1.0000	**2,153,767**
8/31/2023		1.5468	1.4869	1.3510	1.0011	1.0004	1.0000	1.0000	1.0000	1.0000	**1,211,041**
8/31/2024	2.8482	1.5468	1.4869	1.3510	1.0011	1.0004	1.0000	1.0000	1.0000	1.0000	**2,797,827**

* The 123-Ult development factor is a selected tail factor based on expected development beyond the experience provided.
Development is calculated using summed paid loss & paid DCC.

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Supplemental Exhibit 2B
State Farm Mutual Automobile Insurance Company
Washington Commercial Auto
Development of Ultimate Loss & DCC - Property Damage Liability

Development Months

Fiscal Accident Year End	15	27	39	51	63	75	87	99	111	123
8/31/2014	439,346	475,227	475,227	475,227	475,227	475,227	475,227	475,227	475,227	475,227
8/31/2015	566,980	576,214	584,868	584,868	584,868	584,868	584,868	584,868	584,868	584,868
8/31/2016	446,217	474,827	491,067	494,331	494,331	494,331	494,331	494,331	494,331	
8/31/2017	618,646	660,506	664,355	670,760	668,620	668,620	668,620	668,620		
8/31/2018	566,382	633,070	649,428	649,428	649,428	649,428	649,428			
8/31/2019	703,748	747,446	749,599	749,599	749,599	749,599				
8/31/2020	534,469	569,833	576,567	580,795	580,795					
8/31/2021	639,581	682,683	684,308	684,968						
8/31/2022	615,920	721,540	763,125							
8/31/2023	773,611	1,246,102								
8/31/2024	1,210,294									

Development Months

Fiscal Accident Year End	15-27	27-39	39-51	51-63	63-75	75-87	87-99	99-111	111-123
8/31/2014	1.0817	1.0000	1.0000	1.0000	1.0000	1.0000	1.0000	1.0000	1.0000
8/31/2015	1.0163	1.0150	1.0000	1.0000	1.0000	1.0000	1.0000	1.0000	1.0000
8/31/2016	1.0641	1.0342	1.0066	1.0000	1.0000	1.0000	1.0000	1.0000	
8/31/2017	1.0677	1.0058	1.0096	0.9968	1.0000	1.0000	1.0000		
8/31/2018	1.1177	1.0258	1.0000	1.0000	1.0000	1.0000			
8/31/2019	1.0621	1.0029	1.0000	1.0000	1.0000				
8/31/2020	1.0662	1.0118	1.0073	1.0000					
8/31/2021	1.0674	1.0024	1.0010						
8/31/2022	1.1715	1.0576							
8/31/2023	1.6108								

Development Months

	15-27	27-39	39-51	51-63	63-75	75-87	87-99	99-111	111-123
Average	1.1221	1.0130	1.0024	0.9997	1.0001	1.0000	1.0000	1.0000	1.0000
Avg Last 5	1.1956	1.0201	1.0036	0.9994	1.0000	1.0000	1.0000	1.0000	1.0000
Avg Last 4	1.2290	1.0187	1.0021	0.9992	1.0000	1.0000	1.0000	1.0000	1.0000
Avg Last 3	1.2832	1.0239	1.0028	1.0000	1.0000	1.0000	1.0000	1.0000	1.0000
Avg Last 2	1.3912	1.0300	1.0042	1.0000	1.0000	1.0000	1.0000	1.0000	1.0000
Latest Diagonal	1.6108	1.0576	1.0010	1.0000	1.0000	1.0000	1.0000	1.0000	1.0000
Olympic	1.0878	1.0098	1.0019	1.0000	1.0000	1.0000	1.0000	1.0000	1.0000
5 yr Olympic	1.1017	1.0135	1.0028	1.0000	1.0000	1.0000	1.0000	1.0000	1.0000
Geometric Mean	1.1134	1.0128	1.0024	0.9997	1.0001	1.0000	1.0000	1.0000	1.0000
Weighted Average	1.1383	1.0146	1.0025	0.9996	1.0001	1.0000	1.0000	1.0000	1.0000

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Supplemental Exhibit 2B
State Farm Mutual Automobile Insurance Company
Washington Commercial Auto
Development of Ultimate Loss & DCC - Property Damage Liability

Selected Development

	Development Months										
Fiscal Accident Year End	15-27	27-39	39-51	51-63	63-75	75-87	87-99	99-111	111-123	123-Ult*	**Ultimate Loss & DCC**
8/31/2015										1.0000	**584,868**
8/31/2016									1.0000	1.0000	**494,331**
8/31/2017								1.0000	1.0000	1.0000	**668,620**
8/31/2018							1.0000	1.0000	1.0000	1.0000	**649,428**
8/31/2019						1.0000	1.0000	1.0000	1.0000	1.0000	**749,599**
8/31/2020					1.0000	1.0000	1.0000	1.0000	1.0000	1.0000	**580,795**
8/31/2021				1.0000	1.0000	1.0000	1.0000	1.0000	1.0000	1.0000	**684,968**
8/31/2022			1.0028	1.0000	1.0000	1.0000	1.0000	1.0000	1.0000	1.0000	**765,262**
8/31/2023		1.0135	1.0028	1.0000	1.0000	1.0000	1.0000	1.0000	1.0000	1.0000	**1,266,460**
8/31/2024	1.1017	1.0135	1.0028	1.0000	1.0000	1.0000	1.0000	1.0000	1.0000	1.0000	**1,355,166**

* The 123-Ult development factor is a selected tail factor based on expected development beyond the experience provided.
Development is calculated using summed incurred loss & paid DCC.

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Supplemental Exhibit 2B
State Farm Mutual Automobile Insurance Company
Washington Commercial Auto
Development of Ultimate Loss & DCC - Comprehensive

Development Months

Fiscal Accident Year End	15	27	39	51	63	75	87	99	111	123
8/31/2014	199,826	202,048	202,386	202,386	202,386	202,386	202,386	202,386	202,386	202,386
8/31/2015	126,795	129,297	129,297	129,297	129,297	129,297	129,297	129,297	129,297	129,297
8/31/2016	119,286	127,454	128,422	128,422	140,066	140,066	140,066	140,066	140,066	
8/31/2017	230,475	233,553	233,553	233,553	233,553	233,553	233,553	233,553		
8/31/2018	332,814	342,430	342,430	342,430	342,430	342,430	342,430			
8/31/2019	367,646	369,256	369,256	369,256	369,256	369,256				
8/31/2020	209,367	210,541	210,541	210,845	210,845					
8/31/2021	337,060	344,742	344,742	344,742						
8/31/2022	636,545	705,857	707,201							
8/31/2023	545,057	579,912								
8/31/2024	645,298									

Development Months

Fiscal Accident Year End	15-27	27-39	39-51	51-63	63-75	75-87	87-99	99-111	111-123
8/31/2014	1.0111	1.0017	1.0000	1.0000	1.0000	1.0000	1.0000	1.0000	1.0000
8/31/2015	1.0197	1.0000	1.0000	1.0000	1.0000	1.0000	1.0000	1.0000	1.0000
8/31/2016	1.0685	1.0076	1.0000	1.0907	1.0000	1.0000	1.0000	1.0000	
8/31/2017	1.0134	1.0000	1.0000	1.0000	1.0000	1.0000	1.0000		
8/31/2018	1.0289	1.0000	1.0000	1.0000	1.0000	1.0000			
8/31/2019	1.0044	1.0000	1.0000	1.0000	1.0000				
8/31/2020	1.0056	1.0000	1.0014	1.0000					
8/31/2021	1.0228	1.0000	1.0000						
8/31/2022	1.1089	1.0019							
8/31/2023	1.0639								

Development Months

	15-27	27-39	39-51	51-63	63-75	75-87	87-99	99-111	111-123
Average	1.0308	0.9991	1.0001	1.0091	1.0000	1.0000	1.0001	1.0000	1.0000
Avg Last 5	1.0411	1.0004	1.0003	1.0181	1.0000	1.0000	1.0002	1.0000	1.0000
Avg Last 4	1.0503	1.0005	1.0004	1.0000	1.0000	1.0000	1.0000	1.0000	1.0000
Avg Last 3	1.0652	1.0006	1.0005	1.0000	1.0000	1.0000	1.0000	1.0000	1.0000
Avg Last 2	1.0864	1.0010	1.0007	1.0000	1.0000	1.0000	1.0000	1.0000	1.0000
Latest Diagonal	1.0639	1.0019	1.0000	1.0000	1.0000	1.0000	1.0000	1.0000	1.0000
Olympic	1.0289	1.0004	1.0000	1.0000	1.0000	1.0000	1.0000	1.0000	1.0000
5 yr Olympic	1.0308	1.0000	1.0000	1.0000	1.0000	1.0000	1.0000	1.0000	1.0000
Geometric Mean	1.0303	0.9991	1.0001	1.0087	1.0000	1.0000	1.0001	1.0000	1.0000
Weighted Average	1.0411	0.9996	1.0001	1.0053	1.0000	1.0000	1.0002	1.0000	1.0000

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Supplemental Exhibit 2B
State Farm Mutual Automobile Insurance Company
Washington Commercial Auto
Development of Ultimate Loss & DCC - Comprehensive

Selected Development

	Development Months										
Fiscal Accident Year End	15-27	27-39	39-51	51-63	63-75	75-87	87-99	99-111	111-123	123-Ult*	**Ultimate Loss & DCC**
8/31/2015										1.0000	**129,297**
8/31/2016									1.0000	1.0000	**140,066**
8/31/2017								1.0000	1.0000	1.0000	**233,553**
8/31/2018							1.0000	1.0000	1.0000	1.0000	**342,430**
8/31/2019						1.0000	1.0000	1.0000	1.0000	1.0000	**369,256**
8/31/2020					1.0000	1.0000	1.0000	1.0000	1.0000	1.0000	**210,845**
8/31/2021				1.0000	1.0000	1.0000	1.0000	1.0000	1.0000	1.0000	**344,742**
8/31/2022			1.0000	1.0000	1.0000	1.0000	1.0000	1.0000	1.0000	1.0000	**707,201**
8/31/2023		1.0000	1.0000	1.0000	1.0000	1.0000	1.0000	1.0000	1.0000	1.0000	**579,912**
8/31/2024	1.0308	1.0000	1.0000	1.0000	1.0000	1.0000	1.0000	1.0000	1.0000	1.0000	**665,173**

* The 123-Ult development factor is a selected tail factor based on expected development beyond the experience provided.
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Supplemental Exhibit 2B
State Farm Mutual Automobile Insurance Company
Washington Commercial Auto
Development of Ultimate Loss & DCC - Collision

Development Months

Fiscal Accident Year End	15	27	39	51	63	75	87	99	111	123
8/31/2014	251,716	256,957	257,357	254,807	254,807	254,807	254,807	254,807	254,807	254,807
8/31/2015	290,312	284,885	284,885	284,885	284,885	284,885	284,885	284,885	284,885	284,885
8/31/2016	176,822	205,249	206,371	206,371	206,371	206,371	206,371	206,371	206,371	
8/31/2017	434,930	358,691	355,211	354,713	354,420	354,420	354,420	354,420		
8/31/2018	204,777	191,280	191,280	191,280	191,280	191,280	191,280			
8/31/2019	366,812	347,563	347,563	347,563	347,563	347,563				
8/31/2020	639,441	650,039	650,039	650,039	650,039					
8/31/2021	589,188	647,844	640,997	685,037						
8/31/2022	631,111	634,047	609,106							
8/31/2023	1,060,232	991,349								
8/31/2024	1,215,187									

Development Months

Fiscal Accident Year End	15-27	27-39	39-51	51-63	63-75	75-87	87-99	99-111	111-123
8/31/2014	1.0208	1.0016	0.9901	1.0000	1.0000	1.0000	1.0000	1.0000	1.0000
8/31/2015	0.9813	1.0000	1.0000	1.0000	1.0000	1.0000	1.0000	1.0000	1.0000
8/31/2016	1.1608	1.0055	1.0000	1.0000	1.0000	1.0000	1.0000	1.0000	
8/31/2017	0.8247	0.9903	0.9986	0.9992	1.0000	1.0000	1.0000		
8/31/2018	0.9341	1.0000	1.0000	1.0000	1.0000	1.0000			
8/31/2019	0.9475	1.0000	1.0000	1.0000	1.0000				
8/31/2020	1.0166	1.0000	1.0000	1.0000					
8/31/2021	1.0996	0.9894	1.0687						
8/31/2022	1.0047	0.9607							
8/31/2023	0.9350								

Development Months

	15-27	27-39	39-51	51-63	63-75	75-87	87-99	99-111	111-123
Average	1.0095	0.9920	1.0078	0.9997	0.9996	0.9998	0.9998	0.9998	0.9999
Avg Last 5	1.0007	0.9900	1.0135	0.9998	1.0000	1.0000	0.9998	0.9997	0.9999
Avg Last 4	1.0140	0.9875	1.0172	0.9998	1.0000	1.0000	1.0000	0.9997	0.9999
Avg Last 3	1.0131	0.9834	1.0229	1.0000	1.0000	1.0000	1.0000	1.0000	0.9998
Avg Last 2	0.9699	0.9751	1.0344	1.0000	1.0000	1.0000	1.0000	1.0000	1.0000
Latest Diagonal	0.9350	0.9607	1.0687	1.0000	1.0000	1.0000	1.0000	1.0000	1.0000
Olympic	1.0088	0.9938	1.0030	0.9999	0.9999	1.0000	1.0000	1.0000	1.0000
5 yr Olympic	0.9896	0.9965	1.0000	1.0000	1.0000	1.0000	1.0000	1.0000	1.0000
Geometric Mean	1.0050	0.9919	1.0076	0.9997	0.9996	0.9997	0.9998	0.9998	0.9999
Weighted Average	0.9934	0.9898	1.0135	0.9997	0.9997	0.9998	0.9999	0.9998	0.9999

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Supplemental Exhibit 2B
State Farm Mutual Automobile Insurance Company
Washington Commercial Auto
Development of Ultimate Loss & DCC - Collision

Selected Development

	Development Months										
Fiscal Accident Year End	15-27	27-39	39-51	51-63	63-75	75-87	87-99	99-111	111-123	123-Ult*	**Ultimate Loss & DCC**
8/31/2015										1.0000	**284,885**
8/31/2016									1.0000	1.0000	**206,371**
8/31/2017								1.0000	1.0000	1.0000	**354,420**
8/31/2018							1.0000	1.0000	1.0000	1.0000	**191,280**
8/31/2019						1.0000	1.0000	1.0000	1.0000	1.0000	**347,563**
8/31/2020					1.0000	1.0000	1.0000	1.0000	1.0000	1.0000	**650,039**
8/31/2021				1.0000	1.0000	1.0000	1.0000	1.0000	1.0000	1.0000	**685,037**
8/31/2022			1.0000	1.0000	1.0000	1.0000	1.0000	1.0000	1.0000	1.0000	**609,106**
8/31/2023		0.9965	1.0000	1.0000	1.0000	1.0000	1.0000	1.0000	1.0000	1.0000	**987,879**
8/31/2024	0.9896	0.9965	1.0000	1.0000	1.0000	1.0000	1.0000	1.0000	1.0000	1.0000	**1,198,340**

* The 123-Ult development factor is a selected tail factor based on expected development beyond the experience provided.
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Exhibit 2C
State Farm Mutual Automobile Insurance Company
Washington Commercial Auto
Complement of Credibility

	(1) Fixed Expense Ratio	(2) Variable Expense Ratio	(3) Last Implemented Profit and Contingencies	(4) Total Permissible Loss Ratio	(5) Prospective Premium Trend	(6) Prospective Loss Trend	(7) Catastrophe Provision	(8) Complement Of Credibility
Bodily Injury & Property Damage Liability	5.8%	15.9%	0.0%	78.3%	2.7%	9.1%	0.0%	81.8%
Comprehensive	5.8%	15.9%	0.0%	78.3%	4.9%	12.0%	1.2%	81.1%
Collision	5.8%	15.9%	0.0%	78.3%	7.7%	9.3%	0.0%	79.1%

Col (1) = See Exhibit 9A
Col (2) = See Exhibit 9B
Col (3) = See Total Financial Needs exhibit of the latest previously approved filing
Col (4) = 1 - Col (1) - Col (2) - Col (3)
Col (5) = See Exhibit 4
Col (6) = See Exhibit 5
Col (7) = See Exhibit 8, applies to Comprehensive coverage only.
Col (8) = [Col (4) * [(1 + Col (6)) / (1+ Col (5))] ^ (Prospective Trend Period)] / [1 + Col (7)]
Premiums, Losses, and Expenses are projected to 1/19/2027.

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Exhibit 3
State Farm Mutual Automobile Insurance Company
Washington Commercial Auto
Rate Change History

New Business Effective Date	Renewal Business Effective Date	Advance Billing Renewal Effective Date	All Coverages*	Bodily Injury & Property Damage Liability	Comprehensive	Collision
2/1/2025	2/1/2025	2/1/2025	9.3%	7.5%	18.1%	15.1%
1/4/2021	1/4/2021	1/4/2021	-13.0%	-13.0%	-12.9%	-12.4%
4/24/2017	4/24/2017	4/24/2017	7.9%	15.0%	-4.1%	-1.0%
10/5/2015	10/5/2015	10/5/2015	11.3%	16.0%	8.9%	5.0%

* Includes additional miscellaneous coverages
Rate changes displayed are premium effects only. Coverage changes are not included.

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Exhibit 4
State Farm Mutual Automobile Insurance Company
Washington Commercial Auto
Premium Trends and Selections

	Washington Trends				Selected Historical Trend	Selected Prospective Trend
	3 Year	5 Year	7 Year	10 Year		
Bodily Injury & Property Damage Liability	3.4%	2.4%	1.9%	1.6%	**2.7%**	**2.7%**
Comprehensive	4.9%	4.5%	4.0%	3.6%	**4.9%**	**4.9%**
Collision	7.7%	6.3%	6.1%	5.9%	**7.7%**	**7.7%**

Trend percentages shown are calculated by applying an exponential regression to 12 month calendar year rolling current level earned premium per policy for the time periods displayed.

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Exhibit 5
State Farm Mutual Automobile Insurance Company
Washington Commercial Auto
Loss Trends and Selections

		Washington Trends				Selected Historical Trend	Selected Prospective Trend
		3 Year	5 Year	7 Year	10 Year		
Bodily Injury Liability	Frequency per 100	15.3%	-0.8%	-4.1%	-4.2%	**0.0%**	**0.0%**
	Severity	29.2%	36.3%	32.8%	13.2%	**8.0%**	**8.0%**
	Pure Premium	49.0%	35.3%	27.4%	8.5%	**8.0%**	**8.0%**
Property Damage Liability	Frequency per 100	9.0%	-0.8%	-4.5%	-3.6%	**-1.7%**	**0.0%**
	Severity	18.8%	11.5%	10.0%	7.8%	**7.4%**	**11.5%**
	Pure Premium	29.5%	10.6%	5.1%	3.9%	**5.6%**	**11.5%**
Comprehensive	Frequency per 100	-16.7%	2.1%	3.4%	2.6%	**0.0%**	**0.0%**
	Severity	23.0%	16.6%	4.8%	12.9%	**11.4%**	**12.0%**
	Pure Premium	2.5%	19.1%	8.4%	15.7%	**11.4%**	**12.0%**
Collision	Frequency per 100	1.4%	0.6%	1.1%	0.6%	**0.0%**	**0.0%**
	Severity	13.3%	11.3%	21.5%	13.4%	**12.9%**	**9.3%**
	Pure Premium	14.9%	12.0%	22.8%	14.1%	**12.9%**	**9.3%**

Trend percentages shown are calculated by applying an exponential regression to 12 month calendar year rolling case incurred loss for the time periods displayed. Underlying trend data was adjusted to align accident year losses with calendar year exposures.

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Exhibit 6
State Farm Mutual Automobile Insurance Company
Washington Commercial Auto
Policies/Coverage Counts in Force Trends and Selections

	Washington Trends				**Selected Prospective Trend**
	3 Year	5 Year	7 Year	10 Year	
All Coverages	5.1%	6.8%	6.1%	3.8%	**5.1%**
Bodily Injury Liability	5.4%	7.4%	6.5%	4.1%	**5.1%**
Property Damage Liability	5.4%	7.4%	6.5%	4.1%	**5.0%**
Comprehensive	8.0%	9.6%	8.2%	5.5%	**8.0%**
Collision	10.1%	11.9%	9.8%	6.6%	**10.0%**

Trend percentages shown are calculated by applying an exponential regression to monthly average policies/coverage counts in force for the time periods displayed.

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Exhibit 7
State Farm Mutual Automobile Insurance Company
Washington Commercial Auto
Non-Catastrophe A&O Expense per Loss & DCC Selections

		Projected A&O Expense per Case Incurred Loss & DCC					
		Historical Data Period					**Selected Projection**
		Latest Pt	3 Year	5 Year	7 Year	10 Year	
Bodily Injury Liability	Washington Average	3.7%	9.9%	12.7%	18.1%	18.6%	**5.5%**
	Washington Trended Values	N/A	1.3%	2.4%	2.7%	6.3%	
Property Damage Liability	Washington Average	5.1%	13.3%	14.6%	16.7%	17.5%	**7.5%**
	Washington Trended Values	N/A	3.4%	7.1%	7.7%	10.1%	
Comprehensive	Washington Average	7.3%	9.3%	13.1%	14.6%	24.0%	**5.7%**
	Washington Trended Values	N/A	6.1%	4.2%	5.6%	4.4%	
Collision	Washington Average	6.9%	9.9%	11.6%	22.3%	26.0%	**5.3%**
	Washington Trended Values	N/A	4.3%	5.2%	3.0%	5.1%	

Trended values displayed above are the projected expense ratios resulting from exponential regressions applied to 12 month calendar year rolling case incurred expenses per loss & DCC for the time periods displayed. The trends for comprehensive coverage reflect only non-catastrophe expenses and losses.

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Exhibit 8
State Farm Mutual Automobile Insurance Company
Washington Commercial Auto
Catastrophe Provision

	Catastrophe Loss & LAE Per Non-Catastrophe Incurred Loss & LAE
Comprehensive Catastrophe Provision	1.2%

The comprehensive catastrophe provision is developed with State Farm Mutual data.

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Exhibit 9A
State Farm Mutual Automobile Insurance Company
Washington Commercial Auto
Fixed Expense Ratio Selection

	Projected Fixed Expense per Policy					
	Historical Data Period					**Selected**
	Latest Pt	3 Year	5 Year	7 Year	10 Year	**Projection**
Washington Average	66.90	74.70	80.23	83.88	80.29	**68.41**
Washington Trended Values	N/A	53.81	57.19	62.06	81.21	

Selected Fixed Expense per Policy	68.41
Projected Earned Premium per Policy	1179.48
Selected Fixed Expense per Earned Premium	**5.8%**

Trended values displayed above are the projected expenses per policy resulting from exponential regressions applied to 12 month calendar year rolling data for the time periods displayed.

Premiums, Losses, and Expenses are projected to 1/19/2027.

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Exhibit 9B
State Farm Mutual Automobile Insurance Company
Washington Commercial Auto
Variable Expense Ratio Selection

	Projected Commissions per Written Premium					
	Historical Data Period					**Selected**
	Latest Pt	3 Year	5 Year	7 Year	10 Year	**Projection**
Washington Average	13.6%	13.8%	13.8%	13.9%	13.7%	**13.6%**
Washington Trended Values	N/A	13.2%	13.5%	13.4%	13.9%	

	Projected Taxes per Written Premium					
	Historical Data Period					**Selected**
	Latest Pt	3 Year	5 Year	7 Year	10 Year	**Projection**
Washington Average	2.3%	2.2%	2.2%	2.3%	2.3%	**2.3%**
Washington Trended Values	N/A	2.5%	2.3%	2.1%	2.2%	

Selected Commissions per Written Premium	13.6%
Selected Taxes per Written Premium	2.3%
Selected Variable Expense per Written Premium	**15.9%**

Trended values displayed above are the projected expense ratios resulting from exponential regressions applied to 12 month calendar year rolling data for the time periods displayed.

Premiums, Losses, and Expenses are projected to 1/19/2027.

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EXHIBIT 10
STATE FARM MUTUAL AUTOMOBILE INSURANCE COMPANY
PROVISION FOR UNDERWRITING PROFIT AND CONTINGENCIES
AUTOMOBILE INSURANCE OPERATIONS

The following analysis demonstrates that the use of a 1.0% combined provision for underwriting profit and contingencies, together with expected investment income, will produce an expected total return after tax for State Farm which is reasonable compared to that earned by companies in other industries of similar risk and will enable the company to serve the insurance needs of its policyholders. These earnings provide the only source of funds for its Policyholder Protection Fund (Surplus), which is essential to State Farm's continued growth and financial strength.

Total Financial Needs Analysis

A. Auto insurance premiums traditionally include provisions for expected losses and expenses (including an estimate of expected catastrophe losses) and a combined provision for underwriting profit and contingencies. The contingency provision reflects an allowance in the rates for losses and expenses arising from events which cannot be reasonably foreseen or predicted. It thus represents an allowance for adverse fluctuations from the otherwise expected results. The underwriting profit provision reflects the expected difference between earned premiums, incurred losses, and expenses. The need for a contingency element in the rates is generally accepted actuarially and recognized in nearly all rating laws. Over the long-term, the contingency element will not be realized as an underwriting profit, but will be offset by unanticipated losses and expenses.

State Farm Mutual Automobile Insurance Company's underwriting profit from automobile operations, before federal taxes, has averaged -9.0% (see Exhibit 10A, Column 2) during the last twelve years (approximately two underwriting cycles). These results were generated during a period when filed rates generally included a combined provision for underwriting profit and contingencies averaging 1.0%. Based on the difference between our filed profit and contingencies provisions and our actual results, the contingency element has recently been averaging in excess of 2.0% of earned premium.

It is thus reasonable to expect that a 1.0% combined provision for **underwriting profit and contingencies** will produce an actual underwriting result of no more than -1.0% on average.

B. **Net Investment Income** (interest, dividends, and real estate income) has declined as a percent of mean invested assets from 3.6% in 2012 to 2.6% in 2023 (see Exhibit 10B). Based on an analysis of these results, it is reasonable to expect a return of 2.4% on invested assets during the time the rates will be in effect.

Capital Gains have fluctuated between -5.6% and 11.0% of mean invested assets over the past 12 years (Exhibit 10B), with a 12-year average of 3.4% and a 24-year average of 1.6%. The expected contribution of capital gains during the period rates will be in effect is 3.0% of invested assets.

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EXHIBIT 10
(Continued)
STATE FARM MUTUAL AUTOMOBILE INSURANCE COMPANY

As a result, the **Net Investment Yield** as a percent of mean invested assets is expected to be 5.4% during the time the rates will be in effect.

C. **Other Income** has averaged 0.3% of earned premium during the past 12 years (see Exhibit 10A, column 3) and 0.0% for the last 3 years. The expected income during the time the rates will be in effect is 0.0%.

D. All of these income sources combine to yield a total expected insurance operating profit of approximately 2.34%, on earned premium, before tax, as summarized in the table on the following page. This includes the expected investment income attributable to unearned and advance premium reserves and that portion of loss and loss adjustment expense reserves resulting from policyholder supplied funds, as well as the expected underwriting profit.

E. In order to demonstrate that this profit provision is reasonable in comparison to the total after-tax return for other industries, a 2:1 premium-to-surplus ratio is used for this ratemaking analysis. A 2:1 ratio is a general measure of minimum necessary surplus that is often used for automobile insurers, without taking into account the specific risks and needs of a particular insurer. It is also generally recognized that it is prudent to maintain a larger level of surplus and that surplus needs vary from insurer to insurer. The 2:1 ratio is used in this ratemaking analysis to illustrate that even at this low level of capitalization, the rate of return is reasonable in comparison to other industries. Although a 2:1 ratio is used in this ratemaking analysis, considering the multiplicity, nature and magnitude of risks and needs to which State Farm is exposed, State Farm's surplus is and should be significantly larger to provide the financial strength that is adequate and appropriate for its policyholders today and in the future.
Allowing for the expected investment income attributable to the capital of $50 per $100 of premium, the expected total return, after tax, is 8.3% as demonstrated on Exhibit 10.
Taking into account the equity in the unearned and advance premium reserve, the expected total return is approximately 7.3% on a GAAP adjusted basis. An expected total return up to 18% is reasonable in comparison to the current returns of other industries. Recent median returns reported in Fortune magazine average around 9.4% on a GAAP adjusted basis.

F. Based on the foregoing, we conclude that a 1.0% combined provision for underwriting profit and contingencies can be expected to produce a reasonable total return during the time the projected rates are to be in effect. If the contingency provision is actually realized as a profit in any year, the expected total GAAP adjusted return increases to 10.1%. Such a result would still be reasonable and not excessive. If the actual premium-to-surplus ratio were used in this calculation, a lower total rate of return would result.

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EXHIBIT 10
STATE FARM MUTUAL AUTOMOBILE INSURANCE COMPANY
AUTOMOBILE INSURANCE OPERATIONS

EXPECTED TOTAL RETURN

	Item		Expected Contribution to Income
	Premium = $100 Assumed Capital for Policyholder Protection Fund = $50		
1)	Expected Contribution from a 2.0% Provision for Contingencies $100 x 0.0% (Paragraph A of the narrative)	$	0.00
2)	Underwriting Profit Provision (Paragraph A of the narrative)	$	(1.00)
3)	Investment Income on Unearned Premium and Advance Premium Reserves $100 x (Exhibit 10C, Line 6)	$	0.17
4)	Investment Income on Loss and Loss Adjustment Expense Reserves $100 x (Exhibit 10D, Line 5)	$	3.17
5)	Other Income; $100 x 0.0% (Paragraph C of the narrative)	$	0.00
6)	Expected Insurance Operating Profit, Before Tax Sum of 1-5	$	2.34
7)	Investment Income on Policyholder Protection Fund $50 x (Exhibit 10B, Selected Investment Yield)	$	2.70
8)	Federal Income Tax equals: (Lines 1+2+5) x 21.0% + (Lines 3+4+7) x (18.0%, Exhibit 10E, Tax Rate)	$	(0.88)
9)	Expected Total Return Sum 6-8	$	4.16
10)	Expected Total Return as a Percent of Policyholder Protection Fund Line 9 / $50		8.3%
11)	GAAP Adjusted Return Line 10/ (Exhibit 10F, Line 6)		7.3%

Based on the foregoing, a 1% combined provision for underwriting profit and contingencies can be expected to produce a reasonable total return during the time the projected rates will be in effect.

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EXHIBIT 10A
STATE FARM MUTUAL AUTOMOBILE INSURANCE COMPANY

COMPANYWIDE AUTOMOBILE INSURANCE OPERATIONS

(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)
Year	Underwriting Gain or Loss	Other Income*	Net Investment Income	Net Realized Capital Gains or Losses	Net Income Before Tax	Net Income After Tax	Net Unrealized Capital Gains or Losses After Tax	Net Income plus Unrealized Gains or Losses After Tax
2012	-3.8%	0.8%	8.5%	-0.1%	5.4%	5.4%	-0.1%	5.3%
2013	-7.1%	-0.1%	8.0%	2.0%	2.8%	3.9%	24.8%	28.7%
2014	-9.4%	0.7%	8.4%	0.7%	0.4%	1.6%	7.4%	9.0%
2015	-13.6%	0.6%	7.3%	8.0%	2.3%	4.9%	-17.9%	-13.0%
2016	-18.1%	0.5%	7.1%	1.2%	-9.3%	-6.3%	13.4%	7.1%
2017	-6.6%	0.6%	7.4%	1.5%	2.9%	7.4%	15.7%	23.1%
2018	2.5%	0.5%	7.0%	5.8%	15.8%	14.2%	-16.5%	-2.3%
2019	-1.8%	0.5%	7.5%	0.1%	6.3%	5.4%	26.5%	31.9%
2020	3.5%	0.0%	7.3%	-1.0%	9.8%	7.7%	17.0%	24.7%
2021	-8.9%	0.0%	7.7%	0.3%	-0.9%	0.0%	37.7%	37.7%
2022	-28.8%	0.0%	7.3%	0.2%	-21.3%	-19.0%	-17.7%	-36.7%
2023	-16.4%	0.0%	6.7%	1.3%	-8.4%	-7.8%	3.2%	-4.6%
Mean	-9.0%	0.3%	7.5%	1.7%	0.5%	1.5%	7.8%	9.2%
Std. Dev.	9.2%	0.3%	0.5%	2.6%	9.7%	8.8%	18.3%	21.5%

Notes: Columns (2) & (3) are percentages of auto only earned premiums. Columns (4) , (5) , (8) and the Federal Tax calculation shown in Column (7) are percentages of all lines earned premiums.
All columns are before federal taxes, except columns 7-9.

(2) Net all auto underwriting gain or loss from the IEE part II, less dividends to policyholders, and adjusted for prepaid expenses.

(3) Miscellaneous all auto income related to insurance operations from the IEE part II, excluding insurance department fines and penalties and aggregate write-ins for underwriting deductions.
*Note that the Other Income for 2015 excludes losses due to the sale of our Canadian business. This transaction was removed from our data as it will not apply in the future. Other Income was -0.8% with these losses included.

(4) AS Page 12, Line 17 less AS Page 12, Line 2.21 divided by AS Page 4, Column 1

(5) AS Page 4, Line 10 divided by AS Page 4, Column 1

(6) (2) + (3) + (4) + (5)

(7) (6) less the sum of federal income taxes incurred, including the estimated tax on prepaid expenses

(8) AS Page 4 Line 24 less AS Page 3 change in surplus for affiliates

(9) (7) + (8)

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EXHIBIT 10B

STATE FARM MUTUAL AUTOMOBILE INSURANCE COMPANY

INVESTMENT RATE OF RETURN AS A PERCENT OF MEAN INVESTED ASSETS

Year	Net Investment Income		Capital Gain/Loss
2012	3.6%		-0.1%
2013	3.2%		10.9%
2014	3.2%		3.1%
2015	2.9%		-3.9%
2016	3.0%		6.2%
2017	3.1%		7.2%
2018	2.8%		-4.4%
2019	2.8%		9.8%
2020	2.4%		5.2%
2021	2.2%		11.0%
2022	2.3%		-5.6%
2023	2.6%		1.7%
Latest 12-Year Average	2.8%	Latest 12-Year Average	3.4%
Latest 6-Year Average	2.5%	Prior 12-Year Average	-0.3%
Latest 3-Year Average	2.4%	Latest 24-Year Average	1.6%
Selected Yield	**2.4%**		**3.0%**

Data Source: Annual Statement, Pages 2, 3, 4, and 12

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EXHIBIT 10C

STATE FARM MUTUAL AUTOMOBILE INSURANCE COMPANY

AUTOMOBILE INSURANCE OPERATIONS

ESTIMATED INVESTMENT INCOME FROM RESERVE FOR UNEARNED PREMIUM AND ADVANCE PREMIUMS

			All Auto
(1)	**Mean Reserve for Unearned Premium and Advance Premiums, as a ratio to Earned Premium**		
	(a)	2021	0.2630
	(b)	2022	0.2724
	(c)	2023	0.2711
	(d)	3-Year Average	0.2688
(2)	**Delayed Remission of Premiums**		
		Ratio of Agents' Balances or Uncollected Premiums to Unearned Premium & Advance Premiums	67.1%
(3)	**Expenses Incurred at the Beginning of the Policy Term (as a % of Written Premium)**		
	(a)	Commissions & Other Acquisition	17.9%
	(b)	50% of General Expenses	1.3%
	(c)	Taxes	2.0%
	(d)	Total	21.2%
(4)	**Mean Unearned Premium & Advance Premium Reserve Adjusted for Agents' Balances, Uncollected Premiums, and Prepaid Expenses**		
		= (1d) × [1.00 – (2) – (3d)]	0.0314
(5)	**Investment Yield, Before Tax**		5.4%
(6)	**Investment Income from Unearned Premium Reserves and Advance Premium (as a % of Earned Premium)**		0.17%
		= (4) × (5)	

DATA SOURCES:

Note: Advance Premiums from Page 3, line 10 of the AS have been allocated by ASLN and included with the unearned premium reserve.

Item 1- Insurance Expense Exhibit, Part II, Columns 2 and 19, Lines 19 thru 21 plus Annual Statement, Page 3, Line 10

Item 2- Insurance Expense Exhibit, Part II, Columns 19 and 21, Lines 19 thru 21 plus Annual Statement, Page 3, Line 10

Item 3- Insurance Expense Exhibits, Part II, (three year average of the mean ratios)

Item 5- From Exhibit 10B

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EXHIBIT 10D
STATE FARM MUTUAL AUTOMOBILE INSURANCE COMPANY
AUTOMOBILE INSURANCE OPERATIONS

ESTIMATED INVESTMENT INCOME FROM RESERVE FOR LOSSES AND LOSS ADJUSTMENT EXPENSES

			All Auto
(1)	**Mean Reserve for Losses and Loss Adjustment Expenses, as a Ratio to Incurred Losses and Loss Adjustment Expenses**		
	(a)	2021	0.8249
	(b)	2022	0.6792
	(c)	2023	0.7419
	(d)	3-Year Average	0.7487
(2)	**Permissible Loss and Loss Adjustment Expense (% Earned Premium)** = (1.000 – Expense Ratio – Underwriting Profit Provision)		78.5%
(3)	**Mean Reserves for Losses and Loss Adjustment Expenses as a Ratio to Earned Premium** = (1d) × (2)		0.5877
(4)	**Investment Yield, Before Tax**		5.4%
(5)	**Estimated Investment Income from Losses and Loss Adjustment Expense Reserves (as a % of Earned Premiums)** = (3) × (4)		3.17%

DATA SOURCES:

Item 1 - Insurance Expense Exhibit, Part II, Columns 7, 9, 11, 13, 15, 17, Lines 19 thru 21

Item 2 - 1.0 minus the provision for expenses and underwriting profit. Expense provision is the latest three year average of commissions, other acquisition, general expenses, and taxes, licenses, and fees from the Insurance Expense Exhibit, Part II.

Item 4 - From Exhibit 10B

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EXHIBIT 10E
STATE FARM MUTUAL AUTOMOBILE INSURANCE COMPANY

AVERAGE FEDERAL TAX RATE ON INVESTMENT INCOME

Investment Type	Investment (1) Income 2021-2023	Distribution	Current Tax Rates (2)
Bonds (Taxable)	$2,686,375,334	24.0%	21.0%
Bonds (Tax Exempt)	$2,339,032,826	20.9%	5.3%
Stocks (Unaffliated)	$4,838,269,049	43.3%	13.1%
Other (Net of Depreciation)	$1,314,180,568	11.8%	21.0%
Total	$11,177,857,777		14.3%

Yield Type	Selected Yield	Distribution	Current Tax Rate (2)
Inv. Income Earned	2.4%	44.4%	14.3%
Capital Gains	3.0%	55.6%	21.0%
Total	5.4%		18.0%

(1) Annual Statement, Page 12, Exhibit of Net Investment Income.

(2) Current Tax Rate computed according to the Tax Cuts and Jobs Act of 2017:

Under the Tax Laws, 25% of formerly tax-exempt income from securities purchased after August 7, 1986 is taxable. Fifty percent of stock dividends are taxed at 21% and fifty percent are taxed at 25% of 21%. Thus, the estimated effective tax rate will be:

Ordinary Income	21.0%	
Tax Exempt Bonds	5.3%	= 0.25 × 21%
Stock Dividends	13.1%	= [0.50 + (0.50 × 0.25)] × 21%

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EXHIBIT 10F
STATE FARM MUTUAL AUTOMOBILE INSURANCE COMPANY
ALL LINES COMBINED

EXPECTED TOTAL RETURN - ADJUSTMENT TO GAAP

Item	Amount (000's)	Source
(1) 12/31/2023 Assumed Policyholder Protection Fund	$30,403,716	(f) × Leverage Ratio ($0.50 Capital : $1.00 WP)
(2) Provision for Reinsurance	$0	Annual Statement Page 3, Line 16, Column 1
(3) Non-Admitted Assets	$959,837	Annual Statement Page 13, Lines 15 to 25, Column 1 - Page 13, Line 2501, Column 1
(4) Equity in the Unearned Premium and Advance Premium Reserves	$3,335,625	(h)
(5) Total Adjustments	$4,295,462	(2) + (3) + (4)
(6) GAAP Surplus Adjustment Factor	1.1413	[(5) + (1)] / (1)

Calculation of Equity in the Unearned & Advance Premium Reserves

Item	Amount (000's)	Source
(a) Commissions and Brokerage Expense Incurred	$6,797,211	IEE, Part I, Line 2.8 + Line 3 Column 2
(b) Taxes, License & Fees Incurred	$1,238,252	IEE, Part I, Line 20.5, Column 4
(c) Other Acquisition Expenses Incurred	$2,864,673	IEE, Part I, Line 19 + Line 24 – Line 3, Column 2
(d) General Expenses Incurred	$1,320,893	IEE, Part I, Line 25, Column 3
(e) Underwriting (Prepaid) Expenses Incurred	$11,560,582	(a) + (b) + (c) + 1/2 (d)
(f) 2023 Written Premium	$60,807,432	Annual Statement Page 6, Part 1, Line 35, Column 1
(g) 2023 Ending Unearned Premium and Advance Premium Reserves	$17,545,033	Annual Statement, Page 3, Lines 9 & 10
(h) Equity in the Unearned Premium and Advance Premium Reserves	$3,335,625	(g) × [(e) / (f)]

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Exhibit 11 - Page 1

STATE FARM MUTUAL INSURANCE COMPANY

Washington Commercial Auto

Base Rates By Coverage

Commercial Auto

Coverage	Present Factor	Proposed Factor	Percentage Change
BIPD Liability	198.70	258.10	29.9%
Medical Payments Coverage	8.00	8.00	0.0%
Personal Injury Protection	13.70	13.70	0.0%
Comprehansive	56.10	60.60	8.0%
Collision	97.30	101.20	4.0%

Employer's Non-Owned (ENOL)

SFM BIPD Liability

Coverage Level	Present Rate	Proposed Rate	Percentage Change
A	142.00	234.00	64.8%
B	71.00	119.00	67.6%
C	36.00	60.00	66.7%
D	18.00	30.00	66.7%
E	9.00	14.00	55.6%

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Exhibit 11 - Page 2

STATE FARM FIRE AND CASUALTY INSURANCE COMPANY

Washington Commercial Auto

Base Rates By Coverage

Commercial Auto

Coverage	Present Rate	Proposed Rate	Percentage Change
BIPD Liability	337.80	438.80	29.9%
Medical Payments Coverage	13.60	13.60	0.0%
Personal Injury Protection	23.40	23.40	0.0%
Comprehansive	95.30	102.90	8.0%
Collision	165.40	172.00	4.0%

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STATE FARM INSURANCE COMPANIES
WASHINGTON
ADDITIONAL FILING REQUIREMENTS

(48.19.500) Restraint Systems -

Based on the data we have available, enactment of seat belt laws prompts no apparent decline in personal injury claim frequencies. We implemented a Passive Restraint Discount on October 1, 1988 and a Vehicle Safety Discount on January 1, 2001. Personal injury protection and medical payments coverage premiums are reduced when an insured's automobile is equipped with automatic seatbelts and/or air bags for 1993 and prior model years, and all model years of motorhomes, kit cars, and replicas. Premiums for these coverages may also be reduced for certain 1994 or newer vehicles, depending on the medical payments and personal injury protection coverage claim record of that specific make and model of vehicle. Any additional impact that a seat belt law may have on personal injury losses is reflected in the underwriting experience used in our ratemaking process.

(48.19.501(1)) Anti-Theft Devices -

Our IRG adjustment program makes appropriate adjustments by make and model based upon the claims experience. There are no formal guidelines that would help identify which after-market devices are truly effective. Almost any device can be bypassed or overridden, and we do not presently have the statistical evidence that any of the various anti-theft devices on the market can effectively provide protection against the professional thief.

(48.19.501(2)) Rear Stop Lights -

It is very difficult to determine what impact high-mounted brake lights or other lighting devices have had on the loss experience. We would expect any impact to be reflected in our underwriting results by make and model of car with appropriate rate adjustments.

(48.19.501(3)) More Vehicles Than Drivers -

There are numerous administrative problems involved with implementing such a plan, the cost of which may more than offset any expected savings that could be passed on to these particular policyholders.

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STATE FARM MUTUAL AUTOMOBILE INSURANCE COMPANY
WASHINGTON

BREAKDOWN OF OPERATING EXPENSES
COMMERCIAL ANNUAL STATEMENT LINES

As required by Washington statute, this exhibit details the major elements of operating expense for the type of insurance affected by this filing.

	2022	2023	2024	Total
Acquisition	948,181	1,126,049	1,054,601	3,128,831
Other Acquisition	849,639	853,659	684,188	2,387,486
Gen. Administrative	274,982	289,976	228,546	793,504
Boards & Bureaus	3,840	4,472	4,289	12,601
Taxes, Licenses & Fees	202,832	240,709	221,086	664,627
Claim Adjustment Expenses*	908,720	892,470	492,035	2,293,225
Total	3,188,194	3,407,335	2,684,745	9,280,274

* Excluding allocated adjustment expenses.

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STATE FARM FIRE AND CASUALTY COMPANY
WASHINGTON

BREAKDOWN OF OPERATING EXPENSES
COMMERCIAL ANNUAL STATEMENT LINES

As required by Washington statute, this exhibit details the major elements of operating expense for the type of insurance affected by this filing.

	2022	2023	2024	Total
Acquisition	115,558	178,222	222,250	516,030
Other Acquisition	88,239	108,709	126,578	323,526
Gen. Administrative	22,610	27,923	34,317	84,850
Boards & Bureaus	338	331	580	1,249
Taxes, Licenses & Fees	24,307	39,488	43,612	107,407
Claim Adjustment Expenses*	88,526	117,106	103,608	309,240
Total	339,578	471,779	530,945	1,342,302

* Excluding allocated adjustment expenses.

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